

Small business management

Past paper 2023

Question 01

What is guerrilla marketing?

Definition :

Guerrilla marketing is an advertising strategy that uses unconventional tactics to delight and attract customers. It is an alternative to traditional marketing, such as print media, television commercials, billboards, and direct mail. Instead, it focuses on disrupting public spaces and events with unusual, memorable images or activities that may lead to brand association or purchase. Typically, guerrilla marketing relies on human interaction in urban areas to create a big impact on a small budget in hopes of spreading by word of mouth and social media.

Example :

- Red Bull's "Empty Can" Campaign: Red Bull placed empty cans in bins around clubs to create the impression that the drink was popular at the venue [1].
- Coca-Cola's "Happiness Machine": Coca-Cola set up a vending machine in Queens, New York, called the "Happiness Machine." It dispensed not only drinks but also pizzas, flowers, and a six-foot-long sandwich, surprising unsuspecting college students.
- Street Art: Commission local artists to create murals or street art that incorporates your brand or message. This can add vibrancy to urban spaces and generate social media buzz as people share photos of the artwork.

Question 02

Five benefits of sole owner of business

1. Complete Control

In a sole proprietorship, the owner maintains full control over all business operations, including decision-making. The owner can change the business direction without needing to consult with partners or board members, providing a high level of freedom and flexibility.

2. Easy and Inexpensive to Form

Sole proprietorships are the simplest and least expensive business form to establish. They don't require any formal paperwork, and the costs involved are generally minimal. Some local licenses or permits may be needed, but overall, it's a straightforward process.

3. Easy Tax Preparation

Tax reporting for a sole proprietorship is simpler than other business structures. Profits and losses are reported on the owner's personal income tax return, avoiding the need for separate business tax returns. This simplicity can save time and reduce accounting costs.

4. Privacy

Sole proprietorships don't need to file annual reports or public business documents, ensuring a higher level of privacy compared to corporations. The owner can keep their business strategies and performance confidential.

5. Flexible Business Management

With a sole proprietorship, the owner has the flexibility to manage the business as they see fit. They can easily change their products, services, or business strategies without the need for approval from a board or partners.

6. All Profits to the Owner

As the sole owner of the business, all profits go directly to the proprietor. This direct profit allocation can be financially advantageous, especially for successful small businesses.

7. Easy Dissolution Process

If the owner decides to close the business, the process is straightforward. The owner can cease operations without any formal dissolution proceedings – a feature unique to sole proprietorships.

Question 03

Bundling and market penetration pricing strategies

Bundling pricing strategy :

Bundle pricing is a business strategy where companies group several products together into a bundle and sell them at a single price, rather than attribute individual prices to each item. This means that a bundle is now an individual product. Businesses may also apply this pricing strategy to a variety of services in addition to items and products. Bundle pricing can benefit a company because it can display more value for the products overall.

Example :

Restaurants

Bundle pricing can be useful for restaurants and fast-food chains because it allows them to create bundles of food items that complement each other, which can encourage the customer to purchase an entire meal, rather than a single item. This can increase the amount of money

the customer spends and their overall satisfaction with the company. Because most food items have an expiration date, bundle pricing can also help restaurant owners offer discounts to potentially increase the number of customers that purchase that item.

For example, if a hamburger restaurant purchases an excess amount of potatoes and they risk losing profit because of product expiration, they may incorporate potatoes products like fries and hash browns into a bundle with a leader product like a hamburger. This way, customers who enter the restaurant intending to purchase a hamburger may select the bundle instead, thus increasing the number of potato product sales.

Market penetration pricing strategy

A penetration strategy involves offering a new product or service at a low price to get customers' attention. The goal is to gain market share by aggressively getting customers in the door.

Penetration pricing is a marketing strategy businesses employ to attract customers while launching new products or services in the market. The product's lower price is offered, which helps it "penetrate" the market and appeal to the customers."

Example

The perfect example of penetration pricing done right is Netflix.

For every new subscriber, Netflix initially provided a one-month free subscription to try out all the content on the platform.

Once users get hooked to the forum, they are more likely to pay for the coming months rather than miss out on the many series available.

Question 04

Product service feasibility

Product/service feasibility analysis is an assessment of the overall appeal of the product or service being proposed. Although there are many important things to consider when launching a new venture, nothing else matters if the product or service itself doesn't sell.

Product and service feasibility refers to the process of assessing the viability and potential success of a proposed product or service. It involves evaluating various factors to determine if the product or service is desirable and if there is a demand for it in the market.

There are **two components** to product/service feasibility analysis:

- product/service desirability and
- product /service demand.

Product service desirability :

The first component of product/service feasibility is to affirm that the proposed product or service is desirable and serves a need in the marketplace.

You should ask yourself, and others, the following questions to determine the basic appeal of the product or service:

- Does it make sense? Is it reasonable? Is it something real customers will buy?
- Does it take advantage of an environmental trend, solve a problem, or fill a gap in the marketplace?
- Is this a good time to introduce the product or service to the market?

Product/Service Demand:

This component involves determining if there is sufficient demand for the product or service. Several methods can be used to assess demand, including:

- Talking face-to-face with potential customers to gather feedback and insights.
- Utilizing online tools such as Google Adwords and landing pages to gauge interest and demand.
- Conducting research through libraries, the internet, and other sources to gather information on market demand.

Question 05

What is small and medium sized firms?

Small and midsize enterprises (SMEs) are businesses that maintain revenues, assets, or a number of employees below a certain threshold. Each country has its own definition of what constitutes a small and midsize enterprise.

In the United States, the Small Business Administration (SBA) determines the official guidelines for small and medium-sized businesses. It factors in the type of business, number of employees, industry and revenue. Most companies with less than 500 employees are considered to be SMEs.

In Pakistan Definition of SME Any firm that has less than 250 employees and Annual Sales up to Rs.250 million.

Importance of Small and Medium-sized Firms:

Employment: SMEs are significant contributors to employment, creating jobs and opportunities for many individuals .

Innovation and competition: These firms drive innovation and competition in various economic sectors, fostering growth and development].

Economic contribution: SMEs often make up a significant portion of a country's GDP, generating income and contributing to economic stability.

Question 06

Marketing plan of business

"A marketing plan is a strategic roadmap that businesses use to organize, execute, and track their marketing strategy over a given period. Marketing plans can include different marketing strategies for various marketing teams across the company, all working toward the same business goals."

Components of a marketing plan

1.Executive summary

The executive summary explains the overall purpose of your marketing plan and briefly describes all the relevant components. It includes an overview of your marketing and advertising goals, a description of your current marketing position, an overview of your campaign's timeline, and a description of your product/service and target market.

2.Mission statement

A mission statement is a short statement reflecting the purpose of your business at that point in time. It can talk about what you do, the types of products and services you offer, your target market, or your competitive advantage.

3.Market analysis

A market analysis asks you to look deeply at your business and industry. For this section, you will reflect on where your business and your marketing strategy stand right now. You should include what you're selling, your unique selling proposition (what separates you from competitors), your best performing marketing channels and campaigns so far, and your current marketing objectives.

4. SWOT analysis

A SWOT analysis looks at the internal and external environment your business operates in.

- **Strengths** refer to what your business does well, your tangible assets and internal resources, and what sets you apart from the competition.
- **Weaknesses** include areas where your business needs to improve, resource limitations, and places where your competitors are excelling.

- **Opportunities** refer to your industry as a whole, including underserved markets, lack of competitors, growing popularity for the products/services you provide, and positive media coverage of your industry.
- **Threats** include parts of the external environment that could potentially harm your business, like new laws and regulations, negative media coverage, decline of your industry, and emerging competitors.

05 .Competitor analysis

If you offer a similar product or service to other companies, you need to communicate why your offering is more valuable. To do so, you must understand what your competitors are selling, who their audience is, and how they're communicating with that audience. The best place to start is your competitors' website and social media accounts. Buy their products, sign up for their newsletter, or attend one of their events. Read their customer reviews and media coverage to learn more about their successes and failures.

6. Target market and buyer personas

Your target market represents the ideal customers of your product or service. You may have one ideal customer, or you may market to a few different personas. When thinking about your target market, consider these attributes:

- Demographics – age, gender, income, education, occupation, marital status
- Geographics – location (country, region, state, city, town), climate, culture
- Psychographics – lifestyle, attitudes, risk tolerance, aspirations, personality, values, struggles, pain points, goals
- Behavioral attributes – preferred channels and content types, loyalty, frequency of purchases, affiliations

7.Marketing objectives and KPIs

Your objectives are the goals of your campaign, or what you hope to accomplish. Your KPIs, or key performance indicators, are the metrics you will track to determine if you met your objectives. It's also important to track how your KPIs change over time. Here are some example KPIs to track based on your campaign:

- Social media – followers, engagement rate, mentions, reach, ROAS
- Content – comments, shares, downloads, conversion rate, leads, search ranking
- Website – organic traffic, paid traffic, keyword rankings, session duration, bounce rate, conversion rate, CPA
- App – weekly active users, activation rate, conversion rate, churn rate, CLTV.

8. Pricing strategy

You need to consider how you will price your products and services. There are many types of pricing strategies, but these are the main three:

Price skimming – price above competitors to recapture your margins, and lower the price as time passes. With this strategy, you will likely sell fewer products at a higher price point.

Competitive pricing – base your pricing off of what competitors are charging

Penetration pricing – price below competitors to increase market share, gain customers, and sell more units. With this strategy, you try to sell a large volume at a lower price point and then raise prices as time passes

9. Marketing channels

Consider the best channels to promote your business on. You may even decide to create a separate social media and/or content marketing strategy within your overall marketing plan, including your editorial calendar, content types and topics, and the channels you'll be posting on. When choosing marketing channels, think about where your target audience spends their time and what type of information they engage with. You also need to decide whether to use free channels, paid channels, or a combination of both. Here are some examples of popular channels:

- **Social media** – Facebook, Instagram, YouTube, LinkedIn, Twitter, Reddit, Telegram, Pinterest, TikTok, Clubhouse
- **Content marketing** – blogs, infographics, tutorials, guides, case studies, newsletters, webinars, demos, events, presentations, guest blogs, whitepapers, podcasts
- **Communities** – Industry specific websites, forums, and social media groups
- **Media coverage** – press, features in other websites and publications, partnerships, tags or mentions on social media

10. Growth strategy

Growth strategy refers to your long term plans and goals. Think about where you want your business to be in six months, a year, or even five years. How does this individual campaign or plan fit in with your overall marketing or business strategy? If your plan is successful, what project will you take on next? If your plan is unsuccessful, will you move on or try a different approach?

11. Budgeting

In order to actually execute your marketing plan, you will need a realistic budget. Your goal is to execute your plan in an affordable and cost-effective way. In other words, you should be seeing more returns, sales, or benefits than what you're spending. There are many free budgeting

templates online you can use to track your expenses. However you decide to create a budget, it's important to build in a little flexibility for unexpected changes in your plan.

Long Questions

➤ Question 01

How an entrepreneur converts and opportunity into business.? Explain the complete process.

On notes

➤ Question 02

What is market types of market?

Market:

Market can be defined as a place or system where buyers and sellers interact to facilitate the exchange of goods, services, or resources . It is a dynamic environment where supply and demand forces interact to determine prices, quantities, and allocation of resources.

Types of markets

There are the following types

Monopoly :

In a pure monopoly, there is only one seller for a particular product or service. The monopoly firm has complete control over that market. Or, we can say, the monopoly firm determines the price and supply of the product and services in that market. Consumers don't get many choices in such a market, which is why such a market is undesirable. Also, market forces become irrelevant in such a market structure.

Example :

Microsoft, Windows, and DeBeers and diamonds are good examples of such a market.

Oligopoly :

An oligopoly market consists of a small number of large companies that sell differentiated or identical products. Since there are few players in the market, their competitive strategies are dependent on each other.

For example, if one of the actors decides to reduce the price of its products, the action will trigger other actors to lower their prices, too. On the other hand, a price increase may influence others not to take any action in the anticipation consumers will opt for their products.

Therefore, strategic planning by these types of players is a must.

Example :

The steel, Aluminum, and Film industries are good examples of this type of market.

Perfect competition :

This is the most popular type of market where there are many number of sellers and buyers. Usually, most sellers are small sellers who compete with each other for the buyers. There is no one big seller that can influence the price and supply in the market. So, we can say that the firms are price takers and buyers are the price setters.

Other features of this market are that sellers sell (homogeneous) goods and services, and there is no entry or exit barrier. Also, buyers have all the information on the products they are buying, including the price and branding. In a perfectly competitive market, the demand and supply forces help in determining the prices and supply of the goods and services in the market.

Example :

Foreign exchange and agricultural markets are good examples of such a market.

Monopolistic competition :

This type of market is more realistic and popular in the real world. It is the combination of monopoly and competitive market.

Such a market has many buyers and sellers who don't offer homogeneous goods and services. The products that they offer are similar, but they are slightly different from each other. In the market, both consumers and sellers enjoy some degree of power. Buyers get choices, while sellers enjoy some power to charge a marginally higher price as they differentiate their product from others.

This market features comparatively low entry and exit barriers, and strategies made by one firm have minimal impact on others.

Example Restaurants, hotels, and pubs are good examples of this type of market.

Duopoly market :

A duopoly is a market in which two firms sell a product to a large number of consumers. Each consumer is too small to affect the market price for the product: that is, on the buyers' side, the market is competitive.

A market dominated by two major firms or producers, each having significant influence over the market's direction.

Example: The soft drink market, where Coca-Cola and PepsiCo control the majority of market share and compete directly against each other.

Bilateral Monopoly Market:

A market situation where there is only one buyer and one seller, both of whom have market power and negotiate prices.

Example

Labor negotiations between a labor union representing workers and a large corporation regarding wages and working conditions.

Black market :

Black market is a transaction platform, whether physical or virtual, where goods or services are exchanged illegally. What makes the market “black” can either be the illegal nature of the goods and services themselves, the illegal nature of the transaction or both.

Example

Example: Street vendors selling counterfeit luxury goods in busy urban areas, bypassing legal channels and taxes.

Grey market :

Gray Market is a marketplace with unofficial distribution channels or sellers who sell goods, securities, or other commodities. It is a market where buyers and sellers meet as unregulated entities and transact business or information to benefit from low prices, no or little regulations, or profit through bargains.

Example :

Suppose a consumer buys a car from a grey market in another country and imports the car with minimal costs. The consumer imports a gray market vehicle due to the extremely low purchase and shipment cost when put together and compared with local retailers. However, when it comes to authorized servicing and repair of the gray market vehicle, the consumer faces problems.

It happens because the company to which the car belongs has not officially authorized the grey market seller. Thus, the buyer will require legal documentation and licenses from authorized dealers or sellers to put insurance claims, authorized car services, or meet other legal obligations. Additionally, gray market vehicle owners find it difficult to purchase suitable car parts.

Stock market :

A marketplace where buyers and sellers trade shares of publicly listed companies, providing liquidity and capital to businesses.

Example: The New York Stock Exchange (NYSE) or NASDAQ, where investors buy and sell stocks of companies like Apple, Google, and Microsoft.

Flea Market

A market where vendors sell second-hand goods, crafts, and other merchandise in an informal, often outdoor setting.

Example: Weekend flea markets held in parking lots or open-air spaces, where individuals sell items like clothing, furniture, and handmade crafts.

➤ Question03

What is feasibility analysis how it is prepared?

Feasibility Analysis

A feasibility analysis is analysis of viability of an idea through a discipline and documented process of thinking through the idea from its logical beginning to its Logical end.

Feasibility study provides an investigating function that helps answer “ should we proceed with the proposed idea? .

■ Steps in Conducting a Feasibility Analysis :-

1. Conduct a Preliminary Analysis

The aim of conducting a preliminary analysis is to describe the project idea , outline the market conditions , and determines the obstacles before making an investment .Depending on the information obtained from this step , you can decide if the idea has potential .If there are no major roadblocks, you can proceed to follow the next steps .

2. Create a Projected income statement

Estimate what the income of the project would be and what investment is required to provide the estimated income. This is the first step of creating a projected income statement .Make analysis and calculations regarding the cost of the required services to generate the revenue.

3. Conduct a Market Research

Conducting a market research is one of the most important step of feasibility study .A market research can be performed either by an expert , internal to the organization or an Outside firm.

The aim of conducting a good survey is to make a proper projections of the incomes .A Market Research is an extensive study that considers the population trends, demographic features, Volume of market , opportunities , location etc.

4. Plan business organization & Operations

Business organization and business operations are planned in an adequate level of detail at this step to determine the technical abilities of the organization and the costs of operations.

5. Create an opening Day Balance Sheet

An opening day balance sheet is a chart that includes Prepaid Expenses, other assets , Current liabilities , & owner equity etc on the first day of the business before it generates income. An opening day balance sheet demonstrates your company 's overall capital structure. It includes financial ratios to assess the projects 's financial position.

6. Review and analyze

Review all the work completed at the previous steps and make sure you include all the necessary information and nothing requires changing . Compare the charts and information that are included in the previous steps to each other and make sure everything is consistent .Analyze the risks that may occur in the course of the project.

7. Make “ Go / No Go “ Decision

Depending on the information provided in the previous steps , make a decision about whether the option is feasible or not .if all preceding steps have been completed thoroughly , you would have enough inputs to support your decision making process.